

Supply and demand

In a free market, the price of a good is determined by supply and demand. The market price of wheat emerges through the interaction of the supply of wheat by farmers and the demand for it from flour mills and food manufacturers: when the level of supply is equal to the level of demand the market is said to be in equilibrium.

In equilibrium, the market is at rest, because all the mills wanting to buy wheat at the prevailing price can find a farmer willing to sell some, and all the farmers wanting to sell wheat can find a flour mill willing to buy some. Often, however, markets get thrown out of equilibrium: perhaps a sudden drought lowers wheat supply below demand, leading to a shortage. The power of the free market is in its ability to correct this: because there are too many mill owners chasing too few bushels of wheat, farmers can increase their prices without losing sales. The higher price chokes off demand and stimulates supply, until the market returns to equilibrium.

